

Multiple Choice (10 marks)

1. Inflation
 - (a) hurts creditors who do not anticipate it.
 - (b) hurts creditors who anticipate it.
 - (c) hurts debtors.
 - (d) both A and D are correct.
2. If the government subsidizes the production of halogen headlights,
 - (a) the demand curve will shift to the left.
 - (b) the demand curve will shift to the right.
 - (c) the supply curve will shift to the left.
 - (d) the supply curve will shift to the right.
3. Sue loses her job at a shoe factory when the economy falls into a recession. Sue is
 - (a) frictionally unemployed.
 - (b) cyclically unemployed.
 - (c) seasonally unemployed.
 - (d) structurally unemployed.
4. Marginal cost (MC) is equal to average variable cost (AVC) and average total cost (ATC) when:
 - (a) marginal cost (MC) intersects AVC and ATC at their maximum points.
 - (b) AVC and ATC intersect MC at its maximum point.
 - (c) MC intersects AVC and ATC at their minimum points.
 - (d) AVC and ATC intersect MC at its minimum point.
5. Fiscal policy refers to
 - (a) increases in taxes to fight recessions.
 - (b) decreases in taxes to fight inflations.
 - (c) changes in government spending and taxes to fight recessions or inflations.
 - (d) federal deficits.

True / False (10 marks)

Answer True or False

6. True or False: The appropriate fiscal policy to remedy a recession is for the federal government to run a surplus.
7. True or False: A competitive firm making zero economic profit is earning exactly what she would make in her next best alternative job.
8. True or False: Increasing government spending while keeping taxes unchanged can effectively reduce an inflationary gap.
9. True or False: Relatively free entry in a market leads to more consumer choices, greater price elasticity of demand, and more competitors.
10. True or False: Marginal Social Costs equal Private Marginal Costs plus any negative externalities associated with production.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how the United States and Peru can benefit from trading salmon and anchovies. What does this imply about their comparative advantages in production?
12. Discuss how the establishment of a software company by a Mexican entrepreneur in St. Louis could influence aggregate demand in the United States. What factors contribute to this change?

End of Paper